Hindustan Zinc Ltd

Concall Tracker · Q2-2027 folder · Zinc, lead and silver miner-smelter (Vedanta group) · NSE: HINDZINC · BSE: 500188 · Builds on the Q1-2027 report · Latest call read: Q2 FY27 (19 Oct 2026) · Not investment advice

1. Snapshot

What the business does: Hindustan Zinc mines zinc-and-lead ore in Rajasthan and smelts it into zinc, lead and, as a by-product of lead, silver. It's the world's largest integrated zinc producer and India's only integrated silver producer. Vedanta controls it; the Government of India still holds a large minority. Profits follow world metal prices, and silver now brings in nearly half of them.

Number	Value	Plain read
Q2 FY27 revenue	₹15,093 cr	A new record, up 77% on a year ago. More metal, higher prices, by-product sales and a strong dollar all helped.
Q2 FY27 EBITDA (operating profit before interest, tax, depreciation)	₹9,285 cr	First quarter above ₹9,000 cr, up 108%. Margin 62%: ₹62 of operating profit on every ₹100 of sales.
Q2 FY27 net profit	₹6,412 cr	Record, up 142%. Half-year profit ₹11,881 cr.
Zinc cost of production (ex-royalty)	US$703/tonne	Lowest since it went underground, 29% better than a year ago. Helped a lot by high sulphuric-acid by-product prices.
Net cash	₹11,268 cr	Roughly double the June figure. Free cash before growth spending was ₹6,389 cr in the quarter alone.
Market value / P/E (Screener)	~₹2,40,000 cr / ~11.7	About ₹12 for each ₹1 of yearly profit. Cheap-looking, as commodity stocks near peak profits usually are.

2. Concall coverage

Quarter	Call date	Read?
FY23 → Q4 FY26 (multiple calls)	2022 → 24 Apr 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior boundary)	24 Jul 2026	Read for the Q1-2027 report
Q2 FY27	19 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter; earlier history comes from the prior reports. It was a short call, with a new CEO (Amarendu Prakash) and CFO (Amit Gupta) presenting together for the first time.

2b. Latest concall highlights: Q2 FY27 (call 19 Oct 2026)

- **Another record.** Revenue +77%, EBITDA +108%, profit +142%. Mined metal +5% (best second quarter ever), refined metal +7%. Plain read: more output and much better prices at the same time.
- **Cost guidance cut hard.** Full-year zinc cost now guided at US$825-850/t, down from US$975-1,000. Q2 came in at US$703. Plain read: a big beat, though much of it is sulphuric-acid prices that management won't forecast.
- **Silver back on track.** 173 t in the quarter, up 20%. With 20 t sold inside lead concentrate, H1 is about 340 t against the 680 t full-year target, which management reaffirmed. FY28 at 730-750 t is a "hope", not yet guidance.
- **One-off help again.** Another 10 kt of lead concentrate sold for about ₹300 cr revenue and ₹155 cr profit. No plan to repeat it on purpose.
- **Projects:** engineering and buying for the 250 ktpa Debari expansion "almost complete"; tailings plant "as per plan"; critical-mineral exploration ends Q3 FY29. Tone: calm and confident, but light on detail.

2c. Business mix & capacity

Domestic vs export: not broken out on the call. Management has said it holds about three-quarters of India's primary zinc market, so most sales stay at home.
Capacity: refined capacity about 1.1 million tonnes a year, running close to full; FY27 guidance of 1,100 kt refined metal and 680 t silver unchanged. Plain read: growth from here needs the new smelter, not more squeezing of the old ones. Capex this year around ₹5,000 cr, heavier in H2.

2d. Since our last report (builds on Q1-2027, call 24 Jul 2026)

Prior verdicts: **Trigger YES, Consistency MAYBE.**

Prior read	What we said then	What the new call shows	Movement
Trigger: silver + low costs	Real and playing out	Record profit, cost at a new low, silver ~45% of H1 profit	Confirmed
Consistency	Great on costs, short on silver and projects	Cost and silver delivered; project items not mentioned	Unchanged
Silver 680 t FY27	Slipping after a soft Q1	173 t in Q2; H1 ~340 t incl. concentrate	Improving
Fertiliser / phosphoric acid plant (due Q2 FY27)	Slipping	Not mentioned on the call	Unclear (silence)
~650 kt smelter board approval (due Dec quarter)	Pending	Not mentioned; only Debari 250 ktpa was updated	Unclear (silence)
Demerger	Stalled	Not raised	Stalled
CEO change	New, to watch	Smooth first call; same story	On-track

Verdict change: both unchanged. The numbers got better again. The gap is that three things we were tracking simply weren't discussed, and no analyst asked.

3. Earning-trigger thesis ★

Silver comes almost free with lead, so high silver prices drop nearly straight into profit. Stack that on the lowest zinc costs of the underground era and you get 62% margins. Behind it sits the plan to roughly double output through Debari, tailings recycling and a much bigger smelter. The honest catch hasn't changed: a lot of this quarter is price, and by-product acid prices helped costs too.

Trigger	What mgmt said	Evidence so far	Horizon	Strength	Change since last report
Silver profit engine	Deficit market six years running	173 t, ~45% of H1 profit	Now	Strong, price-driven	↑ volume back on track
Cost leadership	Guidance cut to US$825-850/t	US$703/t in Q2	Now	Strong	↑ new low
2x volume expansion	Debari 250 ktpa, tailings plant, bigger smelter	Engineering almost done; mine development under way	FY28-FY30	Moderate	unchanged; big-smelter approval not updated
New metals (rare earths)	Exploration ends Q3 FY29	Mining lease executed on one block	2031+	Unproven	unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict

FY24-FY26	Cut costs, record output	Records and cost beats, repeatedly	Delivered
FY26	Silver 700-710 t, later 680 t	~627 t	Missed
Q2 FY27	Cost within US$975-1,000/t	US$703/t, guidance cut to US$825-850	Delivered (beat)
FY27	Silver 680 t	H1 ~340 t, on pace	On track
FY27	Fertiliser plant phase in Q2 FY27	No update given	Unclear
2023 → now	Demerger into separate businesses	Silent again	Dropped / stalled
Ongoing	Net cash, high payouts	Net cash ₹11,268 cr	Delivered

Narrative drift: none. The new CEO told the same story as the old one: low cost, more silver, 2x growth, return cash. Where the record is mixed is on project dates, and this quarter the problem is silence rather than a changed story. The call skipped the fertiliser plant, the big smelter approval and the demerger.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Another record quarter, a deep cost-guidance cut and silver volumes back on pace. The driver is named, live and in the numbers. The caveat is the usual one for a commodity at peak prices: if silver, zinc or acid prices fall, profits fall fast.

Management consistent? → MAYBE vs last quarter: unchanged

They delivered on costs and on silver this time, which helps. But the story hasn't changed and the issue is silence: the projects that were slipping last quarter didn't come up at all. A strong record on what they control, a patchy one on project timelines. Still MAYBE.

Sources: Hindustan Zinc Q2 FY27 earnings-call transcript (19 Oct 2026) via Screener.in, the Q1-2027 concall-tracker report for earlier calls, and Screener financial tables. AI-generated summary of management commentary. Not investment advice. Do your own due diligence.